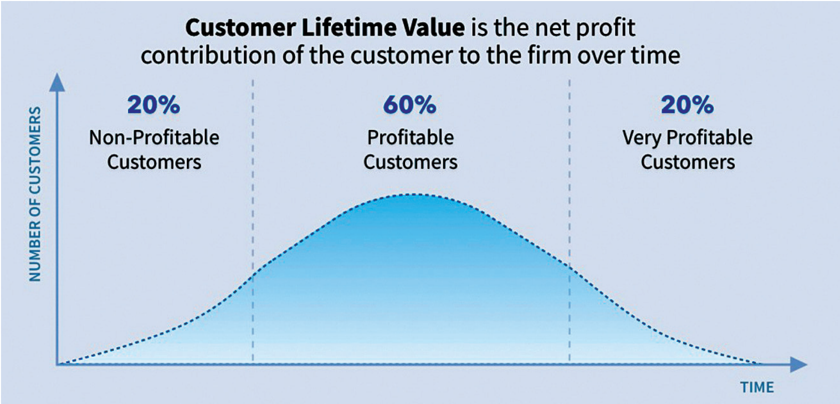

Figure 1: CLV graph (Credit: www.retently.com)

Voice recognition biometrics digitises words and encodes them with data such as pitch, cadence, and tone, and then forms a unique voiceprint related to an individual.

AI-based biometrics help customer service agents to recognise customers and greet them in a personal manner. The customer support team can use biometrics to quickly authenticate customers while minimising the risk of fraud.

For example, tools like ScopeAI work with customer support teams to analyse the voice of customer (VOC) data across multiple channels.

Predictive personalisation: Most companies now have access to huge amounts of data about their customers. When a customer clicks, views and purchases a product from a website, this data is translated into predictions that deliver value-added personalisation and recommendations to targeted consumers. That is, AI-based predictive technology can identify patterns that indicate a customer's intent based on Web activity or text and route the call or chat to the appropriate agent.

AI has been used in the e-commerce industry to improve product recommendations based on personal customer needs, buying behaviour, and user profile. For example, Netflix's AI-powered customer service algorithm uses data such as demographics, viewing history, and personal preferences to predict what the user would like to watch next.

Predictive maintenance: This technology is used to predict technical and maintenance issues before major problems occur. AI predictive maintenance is in use at United Parcel Service and Cisco. It is reported that United Parcel Service has saved millions of dollars by implementing an AI predictive maintenance solution that reduces delivery truck breakdowns. At Cisco, AI predictive maintenance is used to optimise network performance and troubleshoot issues faster.

Motivation and productivity: Research shows that disengaged employees in the US cost billions of dollars a year. With advanced AI technologies, customer service agents can work faster and more efficiently. AI tools used in customer service include:

- Call prioritisation
- Customer identification
- Recommendation engines
- Smart agent monitoring and training

AI-powered tools and solutions help extend the abilities of customer support teams, enabling them to master complex processes. It is an effective way to improve job satisfaction and reduce attrition. When employees are empowered with top-notch solutions, they are motivated to work better. You can get many AI-based tools from different vendors such as Zendesk, HappyFox, Freshdesk, and Accenture.

CLV optimisation: In marketing, customer lifetime value (CLV) is a metric that tracks how valuable a customer is to a company throughout the relationship. It is a prediction of the net profit attributed to the entire future relationship with a customer. Studies have shown that the likelihood of selling to a first-time customer is five to 20 per cent as opposed to an existing customer with the probability of 60 to 70 per cent.

There are many customer service software tools for companies to continuously improve or pinpoint areas of excellence. Using AI-driven data analysis to track customer lifecycles and target customers with loyalty promotions helps optimise CLV. Apart from using AI to calculate and improve CLV, marketers are using it as a primary key performance indicator (KPI) metric.

As per the Pareto principle, better known as the 80/20 rule, 80 per cent of the profits come from 20 per cent of your customers. The actual customer distribution may vary depending on the industry and other factors. However, at the most basic level, the distribution might look like the CLV graph, as shown in Figure 1. The goal of CLV is to identify the segments that are practical and help you make better marketing decisions. Some key parameters while calculating CLV include average order value (AOV), purchase frequency (F), gross margin (GM), and churn rate (CR).

AI-based CLV optimisation tools are available from different vendors such as XLSTAT, Pega, Qualtrics, Optimove, and others. END

By: Sani Theo

The author is technical editor at EFY.

The article was originally published in the December 2020 issue of Electronics For You.